BUSINESS PLANNING: TAXATION & COMPLIANCES

Suggested Answers
July-August 2025

Answer to the Question# 1(a):

Mr. Alvee should report the actual purchase price of the flat — BDT 12,000,000 — in the Statement of Assets and Liabilities, even though the registered deed value was BDT 7,000,000.

According to the law, the actual cost incurred by the taxpayer must be reported in the Assets-Liability Statement. The difference of BDT 5,000,000 between the actual payment and the deed value represents an unreported (undervalued) amount. This undisclosed amount may be treated as deemed income from other sources under section 67(4) of the Income Tax Act, 2023.

Mr. Alvee may face penalties for furnishing inaccurate particulars of assets with the intent to evade tax. This includes a penalty u/s 272 @ 10% of the concealed amount multiplied by number of years it was concealed. Additionally, for deliberate furnishing of inaccurate particulars, he may be subject to imprisonment u/s 313 for a term ranging from six months to five years, with or without fine.

Answer to the Question# 1(b):

Section 328 of the Income Tax Act, 2023 mandates that a taxpayer may submit their tax return electronically. Furthermore, the tax authority has officially clarified that for online returns, no documents, evidence, or papers are required to be submitted. An electronic acknowledgment serves as valid proof of return submission.

Once the return is filed electronically, there is no provision in the Act requiring manual resubmission. Therefore, any demand by the Extra Assistant Commissioner of Taxes (EACT) for a manual return following a valid electronic submission is not supported by law.

The EACT may only seek supporting documents in the course of an audit or investigation, and this must be done through a formal written notice-either under Section 182 for the purpose of audit, or under Section 204 for inquiries or investigations, by an officer duly empowered for such actions.

Answer to the Question# 1(c):

Under Section 2(80A) (previously Section 2(23)) of the Income Tax Act, 2023, a natural person residing outside Bangladesh under a valid visa or employment permit is required to file a return within 90 days from the date of their return to Bangladesh. Accordingly, Mr. Alvee was required to file his return on or before September 30, 2023.

Section 166 outlines the circumstances under which return filing becomes mandatory. These include having income exceeding the tax-free threshold, holding a shareholder directorship/employment in a company, or needs proof of submission of return etc. Based on the information provided, Mr. Alvee did not meet any of the mandatory filing criteria at the time of his return to Bangladesh. Therefore, return filing was not mandatory at that point.

However, during the income year ended on June 30, 2024, Mr. Alvee had multiple sources of income exceeding the tax-free threshold, held a directorship, and owned a flat in Dhaka. As such, his return filing became mandatory for the income year 2023-2024, with the due date being June 30, 2025 as a first time return filing. Since Mr. Alvee filed his return within the due date, he is in full compliance with the provisions of the Act.

Answer to the Question# 1(d):

If Mr. Alvee refuses to pay the alleged bribe, he should gather and preserve all relevant supporting evidence to establish his compliance, including a copy of the acknowledgment receipt of return filing, bank statements, property-related documents, and papers relating to land acquisition that support any income from compensation. It is also important for him to keep records of all communications with tax officials to date. He should then prepare a formal written response, submit it through the proper official channel, and obtain an acknowledgment of submission.

If the Extra Assistant Commissioner of Taxes continues to harass him or verbally demands illegal payments, Mr. Alvee may submit a written complaint to the Commissioner of Taxes in the concerned jurisdiction. In addition, he may seek remedy under other applicable laws, such as by reporting the matter to the Anti-Corruption Commission (ACC). As a responsible taxpayer, Mr. Alvee should maintain full transparency and ensure that all financial and tax-related activities are well-documented and in strict compliance with the law.

Answer to the Question# 2(a):

Mr. Rahim
Computation of total taxable income

Income from Employment:	**Amount**	**Taxable Income**
Basic Salary	12,00,000	
House Rent Allowance	6,00,000	
Medical Allowance	1,00,000	
Employer's contribution to Provident Fund [assuming recognized]	1,20,000	
Gross salary		20,20,000
Exempted (lower of 1/3rd of gross salary and Tk. 450,000)		(4,50,000)
Taxable income from employment		15,70,000
Income from Agriculture:		
Market value of the agricultural produces	23,00,000	
Less: Expenses (60% of market value as books of accounts not maintained. As per section 43 no other expense is allowable)	13,80,000	9,20,000
Total taxable income		**24,90,000**

Computation of income tax liability

On first 350,000 + 50,000=400,000 income @ 0%	4,00,000	0%	0
On next 100,000 income @5%	1,00,000	5%	5,000
On next 400,000 income @10%	4,00,000	10%	40,000
On next 500,000 income @15%	5,00,000	15%	75,000
On next 500,000 income @20%	5,00,000	20%	1,00,000
On rest of the income @25%	7,90,000	25%	1,97,500
	24,90,000		**4,17,500**
Less: Investment tax credit (note-3)			70,500
			3,47,000
Less: TDS on Salary			1,80,000
Net tax payable			**1,67,000**

Note-1
Personal car is not capital asset as per definition at section 2(77) of ITA,2023. So, any gain from sale of personal car will not be treated as capital gain. Moreover, it would not fall under income from other source u/s 66. Therefore, such income is fully tax exempted.

Note-2
Actual investment and donation

Contribution to Recognized Provident Fund [self +employer]	2,40,000
Investment in Listed Securities	1,50,000
Donation to approved organization	50,000
Life Insurance Premium	30,000
	4,70,000

Note-3
Investment tax credit
Allowable investment: lower of-

a.	3% of total taxable income (24,90,000 x 3 %)=	74,700
b.	15% of actual investment (4,70,000 x 15%)=	70,500
c.	Tk. 10,00,000	10,00,000
		70,500

Answer to the Question# 2(b):

Mr. Rahim should disclose previously undisclosed income as per section 24 read with 1st schedule.

In that case, Mr. Rahim needs to pay tax on the total income during current assessment year including previously undisclosed business income of Tk. 10,50,000 and in that case he shall have to pay a penalty equivalent to 10% of the tax proportionate to the tax on undisclosed income before submitting the return. Moreover, such return must be accompanied by a declaration furnishing the name of the assessee, source of income, amount of tax, and penalty on the undisclosed income.

Revised tax liabilities would be:

Income without undisclosed income	24,90,000	
Undisclosed business income	+10,50,000	
Total income	35,40,000	
Tax without undisclosed income	4,17,500	
Tax on undisclosed business income at 25% rate [10,50,000 x 25%]	2,62,500	6,80,000
Less: Investment tax credit at 3% of income		(-)70,500
Net tax payable		6,09,500
Penalty @ 10% [2,62,500 x 10%]=		+26,250
		6,35,750
		(-)1,80,000
Net tax payable with penalty		**4,55,750**

Answer to the Question# 3(a & b):

Computation of Net profit before tax as per Books

Description	Basis	2025	2026	2027
Turnover in Crores Taka (improved by 10% post amalgamation)	Pre-amalgamation	400.00	450.00	550.00
	Post-amalgamation	**440.00**	**495.00**	**605.00**
Gross profit (under amalgamation improved by 50 basis points that means 50% + 0.50% = 50.50%)	In % of turnover	50.50%	50.50%	50.50%
		222.20	249.98	305.53
People related expenses		60.00	62.00	65.00
Marketing and advertisement expenses		40.00	45.00	55.00
Book depreciation		4.00	4.00	4.00
Transportation and other distribution expenses		4.00	4.50	5.50
Other administrative and general expenses		5.00	5.00	5.50
Royalty and technical know-how fees	In % of turnover	5%	5%	5%
		22.00	24.75	30.25
Net Profit before tax as per Books (Disclosed profit)		**87.20**	**104.73**	**140.28**

Note 1: Adjustment for depreciation

Tax depreciation	In Crores Taka	4.00	3.50	3.00
Book depreciation		4.00	4.00	4.00
Adjustment needed	**In Crores Taka**	**-**	**0.50**	**1.00**

Note 2: Adjustment for Royalty & technical know-how fees [Allowed 10% of disclosed profit u/s 55(uma)]

Royalty expenses (claimed in the books)	In % of turnover	5%	5%	5%
		22.00	24.75	30.25
Allowable up to10% of disclosed profit		8.72	10.47	14.03
Inadmissible to be added back		**13.28**	**14.28**	**16.22**

Note 3: Adjustment for Promotional expenses [Allowed 0.50% of Turnover u/s 55(nia)]

Promotional expenses shown in books	In % of turnover	2%	2%	2%
		8.80	9.90	12.10
Allowable 0.50% of Turnover		2.20	2.48	3.03
Inadmissible to be added back		**6.60**	**7.43**	**9.08**

Computation of Total Taxable Income as per tax records

Description	Basis	2025	2026	2027
Net Profit before Tax as per Books		87.20	104.73	140.28
Add:				
Adjustment for tax depreciation	Note-1	-	0.50	1.00
Adjustment for excess perquisite		3.00	3.50	4.00
Adjustment for Royalty and technical fees expense	Note-2	13.28	14.28	16.22
Adjustment for Promotional expenses	Note-3	6.60	7.43	9.08
Taxable profit		110.08	130.43	170.57

Note 4: Losses set-off and carried-forward if Startrek Zillion PLC amalgamated under Option-1 where more than 75% shareholders of Zillion PLC have shares in the amalgamating company

Description	Basis	2025	2026	2027
Profit available		110.08	130.43	170.57
Loss Year- 2021		50.00		
Loss Year- 2022		40.00		
Loss Year- 2023		20.08	9.92	
Loss Year- 2024			20.00	-
Total past losses carried forward and set off		110.08	29.92	-

Note 5: Losses set off and carried forward if Startrek Zillion PLC amalgamated under Option-2 (No set off) where less than 75% shareholders of Zillion PLC have shares in the amalgamating company

Description	Basis	2025	2026	2027
Profit available		110.08	130.43	170.57
Losses of Zillion PLC Ltd cannot be carried forward and set off by Startrek Zillion PLC as less than 75% shareholders here 45% shareholders of Zillion PLC having shares in the amalgamating company at option-2 will not qualify it. [ref. para 8(3)(ga) of Schedule 8 of the ITA 2023]			**No set-off**	
Total carried forward and set off		-	-	-

Tax liability if Startrek Zillion PLC **56.86**
(Option -1: 80% shareholders of Zillion PLC have shares in the amalgamating company)

Description	Basis	2025	2026	2027
Taxable profit for the current year		110.08	130.43	170.57
Losses set off and carried forward		110.08	29.92	-
Income after set off and carry forward of losses		-	100.51	170.57
Tax liability @ 20%		-	20.10	34.11
Tax liability higher of @ 20% or Minimum tax u/s 163	Note-6	2.64	20.10	34.11

Tax liability if Startrek Zillion PLC **82.22**
(Option -2: 45% shareholders of Zillion PLC have shares in the amalgamating company)

Description	Basis	2025	2026	2027
Taxable profit for the current year		110.08	130.43	170.57
Losses set off and carried forward	Note-5	-	-	-
Income after set off and carry forward of losses		110.08	130.43	170.57
Tax liability @ 20%		22.02	26.09	34.11
Tax liability higher of 20% or minimum tax u/s 163	Note-6	22.02	26.09	34.11

Note 6: Minimum tax [u/s 163(5)]

Description	Basis	2025	2026	2027
Gross receipts: Turnover in Crores Taka		440.00	495.00	605.00
Minimum tax @ 0.60%		2.64	2.97	3.63

Option-1: if 80% shareholders of Zillion PLC have shares in the amalgamating company

Tax as per actual calculation		-	20.10	34.11
Tax liability whichever is higher		**2.64**	**20.10**	**34.11**

Option-2: if 45% shareholders of Zillion PLC have shares in the amalgamating company

Tax as per actual calculation		22.02	26.09	34.11
Tax liability whichever is higher		**22.02**	**26.09**	**34.11**

Answer to the requirement: (a)

All amount expressed in Crores Taka

Total tax liability for the projected period considering:
Option-1: if 80% shareholders of Zillion PLC have shares in Startrek Zillion PLC): 56.86
Option-2: if 45% shareholders of Zillion PLC have shares in Startrek Zillion PLC): 82.22

Answer to the requirement: (b)

Best possible way:
Option-1: Allowing 80% shareholders of Zillion PLC to have shares in Startrek Zillion PLC, enabling the latter to offset carry forward losses and resulting in lower tax liability, leading to savings of Taka (in Crores) 25.36

Answer to the Question# 4(a) (i):

The German parent is the sole supplier and does not sell to other unrelated parties, and its financial data is unavailable, therefore CUP and Profit Split Method are not appropriate. Since Global Parts Ltd. resells imported products to unrelated parties in Bangladesh. Since its gross profit margin or net profit margin can be compared with independent distributors operating under similar functions and risks, TNMM is appropriate.

Answer to the Question# 4(a) (ii):

The company has reported operating losses despite being a distributor, which typically operates on low but positive margins. If the losses are attributed to non-arm's length pricing of imports from the parent (e.g., inflated purchase price), the tax authority may re-characterize the transactions and adjust taxable income.

Further, the German parent's financials are not available, making it difficult to apply traditional methods like CUP or RPM. This information asymmetry may be viewed as an attempt to obscure profit shifting, particularly since the parent is in a low-risk jurisdiction (Germany) and Bangladesh is a source country.

The absence of sufficient documentation may lead to non-compliance with local TP documentation rules, resulting in penalties or adjustments under the Bangladesh Income Tax Act, 2023.

Answer to the Question# 4(b):

Appropriate Transfer Pricing Method:
In this scenario, considering the transactions between associated companies, the most suitable method would be the cost plus method. This method is suitable when the reseller adds minimal value and primarily performs distribution functions.

Calculation of ABC's Transfer Price based on its gross profit markup:

- Total costs: BDT 1,000,000 ABC's gross profit markup: 25%
- ABC's Transfer Price = Total Costs + (Total Costs × ABC's Gross Profit Markup)
- ABC's Transfer Price = BDT 1,000,000 + (BDT 1,000,000 × 25%) = BDT 1,000,000 + BDT 250,000 = BDT 1,250,000

Calculation of the Arm's Length Price:

- Total costs: BDT 1,000,000 Comparable companies' average gross profit markup: 20%
- Arm's Length Price = Total Costs + (Total Costs × Comparable Gross Profit Markup)
- Arm's Length Price = BDT 1,000,000 + (BDT 1,000,000 × 20%) = BDT 1,000,000 + BDT 200,000 = BDT 1,200,000

Conclusion:
The transfer price of ABC, which is BDT 1,250,000, exceeds the arm's length price of BDT 1,200,000. Hence, no transfer pricing adjustment needed.

Answer to the Question# 5(a):

Under the VAT & SD Act, 2012, the standard VAT rate on the supply of goods and services is 15%. However, for certain goods and services, the supplier may opt to apply a reduced VAT rate, subject to conditions. In the case of construction services, the applicable reduced VAT rate is 7.5%, and VAT is also required to be deducted at source (VDS) at the same rate.

It appears that MRTC has applied VAT at 7.5% in line with the reduced rate and has complied with the VDS requirements. The VAT law allows suppliers the option to choose either the standard or the reduced rate, as applicable. Since the contract specifies that MRTC is responsible for bearing the VAT, the company has chosen the reduced rate to minimize its tax burden.

As per the Act, input tax credit is not allowable if VAT is charged at the reduced rate. One of the conditions for claiming ITC is that VAT must be applied at the standard 15% rate. Therefore, by opting for the 7.5% reduced VAT, TCL will not be eligible to claim input tax credit, resulting in an increased cost of procurement.

Answer to the Question# 5(b):

The contract clearly states that MRTC will bear all applicable taxes, VAT, and duties, which implies that any tax liabilities, including deductions at source, must be borne by MRTC in addition to the contract value. Accordingly, MRTC is required to gross up the invoice amount to account for both income tax and VAT at source, and then deduct the respective amounts before paying the net amount to the contractor.

Upon reviewing the calculation, it appears that MRTC has incorrectly applied the tax and VAT rates directly to the invoice value, without properly grossing up. For correct computation, VAT should be applied on the amount that results after grossing up the invoice for income tax, not the invoice amount (net of taxes).

Below is the revised computation based on proper grossing-up principles:

Particulars	**(BDT, million)**
Invoice value	100.00
Income tax gross up for 7.5% [100/92.5*100]	108.11
Add: VAT at 7.5% on 108.11 [	8.11
Total invoice value (inclusive of VAT)	116.22
Less: VAT at Source at 7.5%	8.11
Less: Tax at source at 7.5% on 108.11 (-)	8.11
Net payable amount	**100.00**

As per the above, the correct deductions at source should be BDT 8.11 million for VAT and BDT 8.11 million for income tax. However, it seems MRTC deducted BDT 15 million for income tax and VAT, resulting in a shortfall of BDT 1.22 million. As a result, TCL may be held liable for this shortfall.

Answer to the Question# 5(c):

Tax Deducted at Source (TDS):
Under Section 89 of the Income Tax Act, 2023, read in conjunction with the Rules for Tax Deducted at Source, 2024, the applicable TDS rate for payments made to construction contractors or sub-contractors is 5% (revised from the previous 7%). Similarly, the supply of goods is also subject to TDS at 5%.

VAT Deducted at Source (VDS):
VAT on Sub-Contractor Services — According to Section 49 of the VAT & SD Act, 2012, where VAT is deducted or collected at the time of payment and duly deposited into the government treasury by the service recipient under a project, or by the person making the payment for the service value or commission, and the service provider appoints a sub-contractor to perform part or all of the services under the project, VAT shall not be imposed again on the supply made by the first sub-contractor. However, this relief is subject to the condition that proof of VAT deduction or collection at source, along with the treasury challan, is properly maintained and furnished.

It is important to note that this exemption does not apply to the procurement of goods for the project; VAT will still apply in such cases.

Therefore, the sub-contractor is exempted from paying VAT, provided that VAT has already been collected or deducted at source on the total contract value and duly deposited into the treasury.

VAT on Goods Supplier — Currently, the VAT deduction at source for suppliers of goods is 10% w.e.f. 9 January 2025 (increased from the previous 7.5%).

Answer to the Question# 5(d):

As a registered branch of a foreign company operating in Bangladesh, TCL is required to comply with several key tax and VAT obligations under the relevant laws and regulations. In terms of income tax compliance, TCL must deduct and deposit tax at source from designated payments such as salary, fees for services, rent, interest, or contract payments, as applicable. It is also required to file quarterly withholding tax returns (previously submitted monthly), and where applicable, submit quarterly advance tax instalments. In addition, TCL must file an annual income tax return for each income year. If the branch engages in transactions with foreign associates, it must ensure compliance with transfer pricing regulations, including the maintenance of proper documentation in accordance with the Income Tax Act, 2023.

From a VAT compliance perspective, TCL must deduct VAT at source from designated payments. It is also required to submit monthly VAT returns in the prescribed form within 15th day of next month (next working day if 15th day is holiday).

Answer to the Question# 6(a) (i):

ABC Ltd - Factory
Computation of net SD and VAT payable for the month of November 2024

Particulars	Note	Base Value (BDT)	SD (BDT)	VAT (BDT)
Supply – Output Tax				
For supply of goods to sales centers		1,000,000	200,000	180,000
For supply of goods at "Zero" rate (Direct Export)	1	500,000	-	-
Total Output Tax (A)			**200,000**	**180,000**
Purchase – Input Tax				
Standard Rated Goods (local)		200,000		30,000
Standard Rated Goods (import)		400,000		60,000
Transport service 80% rebateable (Claimed 100% and then reversed 20% as increased adjustment)	2	50,000		5,000
Total Input Tax (B)				**95,000**
Increasing Adjustments (VAT)				
Reversal of 20% ITC on transport service				1,000
Total Increasing Adjustments (VAT) (C)				**1,000**
Decreasing Adjustments (VAT)				
Credit note issued against goods returned	3	100,000		18,000
Advance Tax paid at import stage				12,000
Total Decreasing Adjustments (VAT) (D)				**30,000**
Net VAT Payable (E = A-B+C-D)				**56,000**
Less: Decreasing adjustment of SD against goods returned (F)	**3**		**20,000**	
Less: SD paid on Inputs against exports (G)	**4**		**10,000**	
Net SD payable H (A-F-G)			**170,000**	

Note-1: According to sections 23 and 55 of the VAT & SD Act, VAT and SD are not applicable on the export of goods.

Note-2: In line with section 46(2)(d), for transportation services, input tax credit can be claimed up to 80% of the VAT cost.

Note-3: When goods are returned by the Sales Center to the Factory, the Factory is entitled to adjust both SD and VAT as a decreasing adjustment.

Note-4: SD paid on the import of goods that are used in the production of goods intended for export is eligible for a full decreasing adjustment of SD under section 62 of the VAT & SD Act, 2012.

Note-5: As per section 2(18) of the VAT & SD Act, 2012, office equipment is not classified as an input, and therefore, input tax credit is not available for it.

Answer to the Question# 6(a) (ii):

ABC Ltd - Sales Center
Computation of net VAT payable for the month of November 2024

Particulars	Note	Base Value (BDT)	VAT(BDT)
Supply – Output Tax			
For supply of goods from sales centers		2,000,000	300,000
For supply of repair services		100,000	10,000
Total Output Tax (A)			**310,000**
Purchase – Input Tax			
Standard Rated Goods (local)		1,200,000	180,000
Advertisement Services		100,000	15,000
Professional (Accounting) Services		10,000	1,500
Total Input Tax (B)			**196,500**
Increasing Adjustments (VAT)			
Issuance of Debit Note against credit note issued by the factory (Reversal of ITC)	1	120,000	18,000
VAT on rent of sales centers		100,000	15,000
Total Increasing Adjustments (VAT) (C)			**33,000**
Decreasing Adjustments (VAT)			
Credit note issued against goods returned by customer		40,000	6,000
Total Decreasing Adjustments (VAT)(D)			**6,000**
Net VAT Payable (E = A-B+C-D)			**140,500**

Note-1: When a credit note is issued by the factory, the sales center must issue a corresponding debit note and consequently sales center shall reverse the Input Tax Credit (ITC) that was previously claimed.

Note-2: Goods purchased for the purpose of providing repair services are not eligible for ITC if the output VAT rate for these repair services is below 15%.

Note-3: According to Section 2(18) of the VAT & SD Act, 2012, VAT paid on the rent of sales centers is not considered as input. Therefore, ITC is not available for this VAT.

Note-4: Salaries are exempt from VAT and should not be included in the calculation of net VAT payable.

Answer to the Question# 6(b):

S078.00 - Marketing of Own Brand Apparels:

This category includes the production or import of wearable garments that are branded under the seller's own trademarks. The garments may be produced either internally or via contracted tailors and are sold in return for consideration through the seller's own showrooms or marketing centres. The VAT rate applicable to such sales is 7.5% (currently, 10% w.e.f. 22 January 2025).

S099.60 - Selling of goods through online:

Retail sales through online-

This category refers to the buying and selling of goods conducted through electronic networks. Here, the goods must have been procured from a producer or trader with VAT already paid, and subsequent sales are made with VAT payment and online retailer does not have showroom.

Given that Exclusive Clothing sells its own branded apparel through both showrooms and online channels, it does not qualify for classification under S099.60.

The sales through their physical showrooms and online presence should fall under S078.00, where the 7.5% VAT rate applies (currently, 10% w.e.f. 22 January 2025), as they own the brand and manage direct sales.

Answer to the Question# 7(a):

Computation of Assessable Value, Duties, and Taxes

Assessable Value (AV) is computed based on the Cost, Insurance, and Freight (CIF) price, adding a fixed loading charge of 1% as per Bangladesh Customs Rules.

Assessable Value=CIF×1.01
AV = $80×1.01
=$ 80.80

Computation of Duties and Taxes Based on Declared Value

Particulars	***Formula***	***Amount ($)***
Invoice value	CIF value	80.00
Landing charge	1%	0.80
Assessable Value (AV)	**CIF + Landing charge**	**80.80**
Customs Duty (CD) @ 5%	5%	4.04
Value Added Tax (VAT) @ 15%	15% on (80.80+4.04)	12.73
Advance Tax (AT) @ 5%	5% on (80.80+4.04)	4.24
Advance Income Tax (AIT) @ 3%	3% of AV	2.42
Total Duties & Taxes		**23.43**
Total Landed Cost per MT	**CIF Value + Duties & Taxes**	**104.23**

Answer to the Question# 7(b):

Arguments in Favor of Declared Value

Under the WTO Agreement on Customs Valuation, the transaction value, which refers to the price paid or payable in a sale for export, should be the primary method of valuation. Customs authorities can only reject this value if there is concrete evidence proving it to be incorrect. In the case of Doreen Power Limited, the company may have received a discount for bulk purchasing of 50,000 MT, which justifies the lower price. Additionally, a long-term contract with the supplier could have enabled the company to secure more favorable pricing.

Further, the price of coal is influenced by several factors, including grade, calorific value, sulfur content, and ash percentage. The declared coal may have a lower specification compared to the imports used for comparison, which could account for the price difference. Furthermore, coal prices are subject to fluctuations due to international market conditions, contributing to variations in pricing.

Supporting Documents

- Commercial Invoice & Purchase Agreement – Official proof of transaction price.
- Bank Transfer & Letter of Credit (L/C) Documents – Confirmation of payment.
- Supplier's Price List & Proforma Invoice – Price evidence.
- Past Import Records – Showing similar prices in prior transactions.
- Market Price Reports – Showing price variations based on coal specifications.

The company may request a re-evaluation under the Customs Valuation Rules by submitting documentary evidence to support its declared value. If the request is rejected, the company also has the option to appeal to the Commissioner of Customs (Appeal) or the Customs, Excise & VAT Appeal Tribunal, in applicable cases, for further review and resolution.

Answer to the Question# 7(c):

Arguments for HS Code 2701.12 (5% Duty)

The imported coal aligns with the characteristics of HS Code 2701.12 based on its calorific value, ash content, and sulfur levels. To substantiate this classification, the supplier's invoice, lab test reports, and product specifications should confirm that the coal meets the required criteria for HS Code 2701.12. If previous shipments were consistently classified under the same code, this establishes a precedent for uniformity in classification. Additionally, international customs references may further support and validate this classification.

Dispute Resolution Mechanisms

To address the classification and valuation concerns, the company should submit a written justification to the Customs Authority, providing supporting evidence such as supplier invoices, lab test reports, and product specifications. Additionally, it should seek a formal ruling from the National Board of Revenue (NBR) on the appropriate HS Code classification. If the Customs Authority rejects the classification or valuation, the company can file an appeal to the Commissioner of Customs (Appeal) or the Customs, Excise & VAT Appeal Tribunal, in applicable cases. If necessary, a judicial review can be pursued in the High Court Division to ensure a fair resolution.

Answer to the Question# 7(d):

Fines and Punishments for Misdeclaration

Under the Customs Act, a person shall be guilty of an offence under the law if s/he provide any untrue declarations, certificate, documents, statement, information or records in connection with any matter of customs.

Section 171 of the Customs Act, 2023 described the penalties provisions for the offences related to customs. Under this section, a person commits an offence of misdeclaration as per Section 33 of the Act, shall be liable to a penalty not exceeding 4 times but minimum 2 times (currently, a penalty not exceeding 2 times but minimum equal, w.e.f. 2 June 2025) of the evaded duties and, the related goods shall be liable to confiscation.

The person guilty for misdeclaration may further be liable to rigorous imprisonment for a term not exceeding 5 years or to a fine not exceeding 4 times but minimum 2 times (currently, a penalty not exceeding 2 times but minimum equal, w.e.f. 2 June 2025) of the evaded duties or to both along with confiscation of goods.

---The End---